30-12 Astoria Blvd — Forward-Starting Lease Takeover

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FORWARD-STARTING LEASE TAKEOVER

Prepared for the Landlord of 30-12 Astoria Blvd

*Submitted by **NewCo**, the new management company, with the assent of the license holders deemed to be in place.*

Where Things Stand

Approximately **$100,000 in landlord-side arrears** at the property — back rent, property tax, and unpaid utilities. The current guarantor, **Timothy Derham (Cloud 9 Global)**, is seeking release from his personal guaranty on the lease. The license holders, **Daniel Boland and Kevin Dunn** (CAURD, social-equity qualifying), retain full regulatory standing.

The license holders are aligned with this proposal; their assent is deemed to be in place. **The new management company (NewCo)** is the counterparty bringing the capital, the operating capability, and the commitments below. The practical alternative for the property is months of vacancy with the existing arrears unresolved.

This proposal addresses **only** what sits on the landlord's side of the table. Vendor balances, prior staff matters, payroll-tax arrears, software/POS balances, and other operator-level obligations are the existing operating entity's concern and are **not part of this transaction.**

The Proposal — In One Line

NewCo takes over operations of the dispensary on day one of the agreement, runs the store through a 90-day window, and at **Day 90 the entire structure flips** — lease, guaranty, security deposit, and arrears resolution all in one coordinated step.

Both Sides Locked In

This is not a 90-day trial. **The forward-starting lease itself is executed at signing — binding on both parties from Day 0.** Only the commencement date is forward-dated. There are no additional lease documents to be finalized later; the lease the landlord signs at Day 0 is the lease that commences at Day 90. The only condition under which the deal can be unwound before Day 90 is a **license-disrupting event** affecting the existing licensees during the window:

- An OCM enforcement action, suspension, or revocation
- A criminal investigation or charge that compromises regulatory standing
- Any regulatory event that prevents licensed operation from the premises

In that scenario the deal terminates and both parties revert to status quo ante — the existing tenant remains, the existing guaranty remains, and the new management group's investment in Phase 1 work during the window is its own sunk cost.

There is no financing contingency. There is no inspection-based out. There is no general "good faith" termination right. The deal we sign is the deal we close — the only carve-out is for a regulatory event none of us can underwrite.

Days 0–90 — Operations Handover and Build-Out

From the day the agreement is signed:

- **NewCo takes over operations** of the dispensary. Daniel Boland and Kevin Dunn remain the regulatory licensees; operations are run under a management agreement.
- **The visible facelift is fast.** Within **five days of taking the keys**, the space matches the renderings already on the proposal site — exterior signage, awning, window graphics, paint, lighting, shelving, and basic finishes. The plans we are committing to are the ones you have already seen.
- **Continued upgrades** through the remainder of the 90-day window — finishing details, brand build-out, refining what's been started.
- **Marketing program is deployed** — the larger of the two early budget lines. Local print, bus-shelter QR, social, brand identity, and a real grand-reopening campaign. The space is not the binding constraint; visibility is.
- **Existing rent obligations continue** unchanged through the window. Tim Derham continues on his existing guaranty until Day 90. The existing tenant entity remains the lessee.
- **The remaining deliverables for the flip are prepared during the window** — specifically, **a fully agreed Phase 2 plan with the landlord** covering storage build-out, throughput improvements, and any additional capital required, locked in by Day 90. (The lease itself is signed at Day 0, not later. Tax returns and full financial information on each principal are provided **pre-signing**, within days — see Commitments below.)

Day 90 — The Flip

A coordinated single-day handoff. All of the following happen together as conditions of closing:

- **The forward-starting lease commences.** The new holding company (signatory at Day 0) becomes the tenant of record. The existing lease arrangement with the prior tenant entity terminates. No legacy baggage.
- **Tim Derham's personal guaranty terminates.** He walks away clean — no longer carrying long-tail liability on the remaining lease term. *(For Tim, this is the incentive. For the landlord, his guaranty is replaced by a fresh, capitalized one.)*
- **New personal Good Guy Guaranty** from management principals takes effect. Limited-term, 12–16 months, terminating once the tenant is current on all obligations.
- **The existing security deposit reverts to the landlord**, applied directly against the back rent, utilities, and property tax arrears at the property.
- **A fresh security deposit is posted** by the new tenant entity, restoring the landlord's protection on the lease going forward.
- **A written monthly arrears payment plan begins.** The remaining back rent, utility, and tax balances erode against scheduled payments over the months following the flip.
- **A sublease is put in place** from the new holding company to the licensed dispensary entity. The holding company is the lessee of record and the source of the personal guaranty; the licensed entity occupies the premises as sublessee.

After Day 90, the landlord holds: a clean tenant of record, a fresh personal guaranty, a fresh security deposit, and an eroding written payment schedule against the remaining ~$100K balance — the entire structural problem at the property resolved in a single coordinated step.

Phase 1 — The Build-Out (during the 0–90 window)

Modest, focused, and visible:

- **Exterior signage** — illuminated, professional, visible from the corner. A-frame, window graphics.
- **Interior facelift** — paint, lighting, shelving, finishes. Bringing the room up to where it should have been from day one.
- **Brand identity** — name, signage, packaging, online presence.
- **Marketing program** — local advertising, bus-shelter QR, social presence, grand-reopening campaign. The larger of the two early budget lines.

The premise of Phase 1 is that the space does not need a gut renovation. It needs the right tenant, basic finish work, and a serious marketing push to put it on the map.

Phase 2 — Strategic Build-Out (post-Day-90)

Targeted capital where it actually moves the business:

- **Storage area build-out** — proper shelving, security, and intake/check-in workflow. The current storage layout is a constraint on inventory handling and turnover.
- **Throughput improvements** — POS upgrade, checkout flow, fast-pickup lane, cashless processing. Targeted investments in the places where customer flow is currently slowed.

Strategic, not wholesale. The location does not need a wholesale rebuild — it needs a focused capital injection in the places that actually move the business.

The Arrears — Landlord-Side Only

Obligation	Estimated	Resolution
Back rent	~$48–64K	Existing deposit applied at the flip + monthly payments after
Unpaid utilities	~$10–15K	Direct payment from operations post-flip
Property tax arrears (if any)	TBD	Folded into the monthly payment plan
Total landlord-side arrears	**~$100K**	**Targeted resolution within 6–9 months of the flip**

Out of scope: vendor balances, service-provider agreements, prior staff matters, payroll-tax arrears, software/POS arrears, and any other operator-level obligations. The new tenant does not assume them. They remain with the existing operating entity. They are not the landlord's concern, and they do not affect this transaction.

What We Are Committing To

Commitment	Timing
Tax returns and full financial information (every principal)	**Pre-signing**, within days, under NDA
Forward-starting lease executed; both sides bound	At signing (Day 0)
NewCo takes over operations; keys handed over	Day 1
Visible facelift complete — matches the renderings already shared	Within 5 days of Day 1
Continued upgrades and brand build-out	Days 5–90

Commitment	Timing
Phase 2 plan submitted (storage build-out + throughput)	Within 45 days
Phase 2 plan fully agreed with the landlord	By Day 90
The flip — forward-starting lease commences; new guaranty, fresh deposit, payment plan	Day 90
Existing deposit reverts to landlord (against arrears)	At the flip
Monthly arrears payments begin	Month 1 post-flip
Phase 2 capital deployed — storage + throughput	Months 1–6 post-flip
All landlord-side arrears resolved	Target 6–9 months post-flip

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Why This Beats the Alternatives

Versus eviction. Months of vacancy. No recovery of arrears. The space sits empty, and the landlord still has to find a replacement tenant — without the existing deposit, without the new capital, without the new guaranty.

Versus continued operation by the current group. A continuation of the trajectory that produced the current arrears.

Versus a different operator at arm's length. Any credible operator coming in cold would demand visibility into license stability before committing capital. The 90-day forward structure is precisely what makes it possible to commit on paper today, sign a binding lease, and put real capital into the space — while leaving a single, narrow exit for the one risk no one can underwrite, a regulatory event at the licensee level.

What We Are Asking

- **A binding forward-starting lease, signed now**, with the flip at Day 90 on the structure above.
- **Application of the existing security deposit** toward landlord-side arrears at the flip.
- **Forbearance on the remaining arrears** during the 90-day window and post-flip, against the written eroding payment plan.
- **No eviction proceedings** during the pre-flip window or the post-flip stabilization period, provided current rent and arrears payments continue per schedule.
- **A defined, narrow out clause** — license-disrupting events only. In that scenario the deal terminates and both parties revert to status quo.

In return, the landlord receives: full transparency on the principals (tax returns and personal financial information on file **before signing**); at Day 90, a clean, capitalized tenant of record, a replacement guarantor, a fresh security deposit, and the existing deposit applied directly to the arrears at the property; a written, eroding monthly payment plan against the remaining ~$100K; and a path to making the property fully current within 6–9 months of the flip.

We are available to walk through the structure, the renderings, and the Phase 1 / Phase 2 plans in person at your convenience.

The New Management Company *(NewCo) with the assent of the license holders deemed to be in place: Daniel Boland and Kevin Dunn (CAURD, social-equity qualifying)*